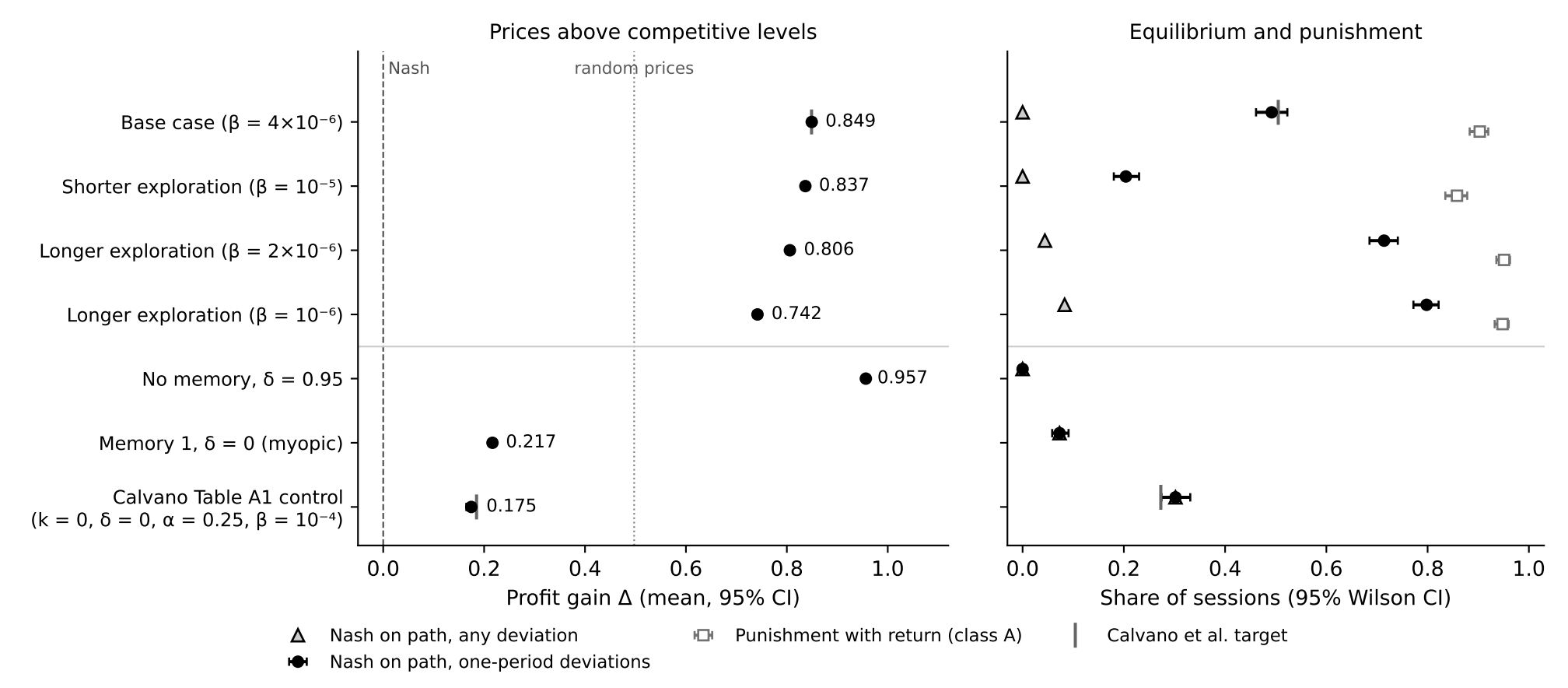
Prices above competitive levels
Equilibrium and punishment
Nash
random prices
Base case (β = 4×10⁻⁶)
Shorter exploration (β = 10⁻⁵)
Longer exploration (β = 2×10⁻⁶)
Longer exploration (β = 10⁻⁶)
No memory, δ = 0.95
Memory 1, δ = 0 (myopic)
Calvano Table A1 control
(k = 0, δ = 0, α = 0.25, β = 10⁻⁴)
0.849
0.837
0.806
0.742
0.957
0.217
0.175
0.0
0.2
0.4
0.6
0.8
1.0
Profit gain Δ (mean, 95% CI)
Share of sessions (95% Wilson CI)
Nash on path, any deviation
Nash on path, one-period deviations
Punishment with return (class A)
Calvano et al. target